

SECTION 6: DEMAND AND SUPPLY (I)

6.1 THE LAW OF DEMAND

Multiple Choice Questions

1995/CE/II/06

Lane Crawford
50% discount on all items!

This method of sales promotion can be explained by

- A. the law of supply.
- B. economies of scale.
- C. the law of demand.
- D. the principle of comparative advantage.

1997/CE/II/07

Suppose the government raised the water charge in January 1997. What would be the result?

- A. a decrease in the demand for water
- B. a decrease in average household water consumption
- C. a decrease in the government revenue from the water charge
- D. a decrease in the cost of production of restaurants because they would use less water

2004/CE/II/08

Suppose an airline reduces the price of its air tickets. As a result,

- A. the demand for its air tickets will increase.
- B. the number of its passengers will increase.
- C. the supply of its aircraft service will increase.
- D. its sales revenue will increase.

2006/CE/II/49

In order to reduce the amount of household garbage disposed of, the government is planning to impose a household garbage disposal charge according to the amount of garbage disposed by each household.

Which of the following concepts can be used to explain the above policy?

- A. law of demand
- B. principle of comparative advantage
- C. diseconomies of scale
- D. law of diminishing marginal returns

2008/CE/II/06

Recently the stock market in Shanghai has become overheated. Compared with last year, the selling price of a financial magazine has increased from RMB¥5 to RMB¥8 while its sales volume has increased by 10%.

In the above case,

- A. the law of demand is violated.
- B. the demand curve of the magazine can still be downward sloping.
- C. the demand for the magazine is inelastic.
- D. the supply of the magazine is elastic.

2000/AL/I/08

Which of the following statements may be consistent with a downward sloping demand curve?

- A. Price and quantity transacted are observed to increase together.
- B. Price rises and quantity transacted falls.
- C. A student is not willing to give up anything for an additional distinction in one other subject.
- D. All of the above.

2019/DSE/I/12

The table below shows the quantities of high-quality and average-quality Japanese fruits sold in Japan and Hong Kong. Assume the consumers' preferences on Japanese fruits are similar in both economies.

	Quantity of high-quality Japanese fruits sold (units)	Quantity of average-quality Japanese fruits sold (units)
Japan	50	200
Hong Kong	Q_1	Q_2

Suppose the cost of transporting both types of fruits from Japan to Hong Kong are the same. Which of the following figures is/are consistent with the law of demand?

- (1) $Q_1 = 30$; $Q_2 = 140$
- (2) $Q_1 = 40$; $Q_2 = 150$
- (3) $Q_1 = 45$; $Q_2 = 180$

- A. (1) only
- B. (2) only
- C. (3) only
- D. (1) and (3) only

2020/DSE/I/12

When the market supply curve of a good is derived, which of the following is/are assumed to be constant?

- (1) the market price of the good
- (2) the prices of factors of production of the good
- (3) the expected future price of the good

- A. (1) only
- B. (2) only
- C. (3) only
- D. (2) and (3) only

2020/DSE/I/17

A non-profit organisation supports the increase in cigarette tax. The organisation reveals that every 10% increase in cigarette prices reduces the total cigarette quantity transacted by 4%. Which of the following statements about cigarette tax is **INCORRECT**?

- A. Law of demand is illustrated in the above case.
- B. The total expenditure on cigarette will increase after the increase of the cigarette tax.
- C. The increase in cigarette tax may lead to a greater income inequality.
- D. The cigarette tax could help reduce the problem of under-production of cigarette.

2023/DSE/I/10

Which of the following is **INCONSISTENT** with the law of demand?

- A. When a theme park reduces its ticket price, visitors stay in the theme park for longer hours on average.
- B. Both the price and quantity transacted of private housing units decrease when people expect an increase in mortgage interest rates.
- C. Compared with customers living close to supermarkets, customers living far away from supermarkets tend to buy more items in each visit to supermarkets.
- D. If the Hong Kong Government shortens the quarantine period for incoming arrivals, the number of tourists visiting Hong Kong would increase.

2023/DSE/I/11

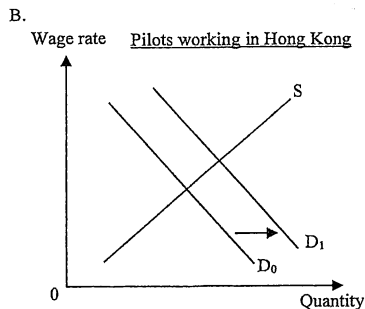
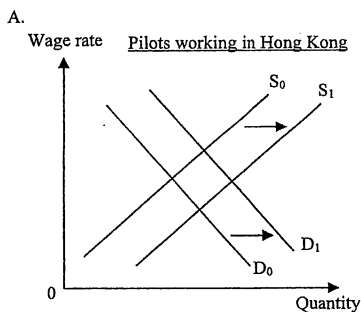
When Good X and Good Y are in _____, a decrease in the price of Good X will lead to _____.

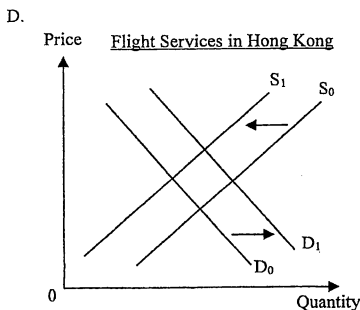
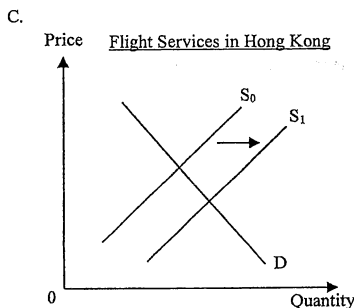
- (1) competitive demand.....a decrease in the price of Good Y
 - (2) joint demand.....a decrease in the producer surplus in the market of Good Y
 - (3) competitive supply.....an increase in the consumer surplus in the market of Good Y
 - (4) joint supply.....a decrease in consumers' total expenditure on Good Y
- A. (1) and (3) only
 - B. (1) and (4) only
 - C. (2) and (3) only
 - D. (2) and (4) only

2024/DSE/I/11

Suppose a campaign successfully attracted many pilots in Mainland cities to work in Hong Kong. Meanwhile, more and more Hong Kong people travel abroad for leisure.

Which of the following diagrams best illustrates the effects of the above events?





2024/DSE/I/12

As part of the 'Happy Hong Kong' campaign, the 'Hong Kong Cinema Day' was held in April 2023, with tickets priced at HK\$30 across all participating cinemas. It was reported that many people failed to buy any discounted film ticket even after queuing up for hours.

From the information above, we can infer that the quantity transacted of the discounted film tickets is

- equal to the quantity supplied and smaller than the quantity demanded
- equal to the quantity supplied and larger than the quantity demanded
- equal to the quantity demanded and smaller than the quantity supplied
- equal to the quantity demanded and larger than the quantity supplied

2025/DSE/I/27

Which of the following is most likely to cause an increase in the short run aggregate output of an economy?

- an increase in the rate of savings and an increase in the labour productivity in the economy
- an increase in the income tax rate in the economy and a faster economic growth in its trading partners
- a decrease in the discount rate in the economy and a decrease in the world oil price
- a decrease in the tariff rate imposed on imported consumer goods and an increase in the quota for the immigration of skilled workers in the economy

2025/DSE/I/37

In an economy, a large number of workers migrate overseas together with their family members. In the short run, the price level of the economy _____ and its real output _____.

- will rise.....will fall
- will fall.....may rise or fall
- may rise or fall.....will fall
- may rise or fall.....may rise or fall

Short & Structured Questions

1995/CE/I/3

- (a) State the law of demand. (2 marks)
- (b) Point out the difference between 'quantity demanded' and 'quantity bought'. (2 marks)

1996/AL/I/7(a)

In Hong Kong, the number of supermarket outlets has grown from less than 50 in 1973 to 560 in 1993, and the range of products carried by a single large outlet reaches 8 000 items. This development contrasts sharply with the earlier period (say in the 1950's), when small grocery stores each carrying and specializing a few dozen items had been the popular practice.

How would you explain the growth of supermarkets as a result of a change in the wage rate of domestic servants? (3 marks)

1996/AL/I/8(a)

In Hong Kong, the number of children an average woman expects to bear in a lifetime has fallen from 4.5 in 1965 to around 1.3 in 1995.

A child may be regarded as a consumption good, for which a cost or a price must be paid. Considering a child as a consumption good, how would you explain the sharp fall in fertility rate? (5 marks)

2000/AL/I/6

Currently households pay rates (差餉) to cover the disposal charge for their garbage (rubbish) and the rates depend on the value of their flats. Will there be any change in the amount of garbage disposed of by each household if the disposal charge is calculated according to

- (a) the number of people per household instead?
- (b) the number of standard garbage bags used by each household instead? (8 marks)

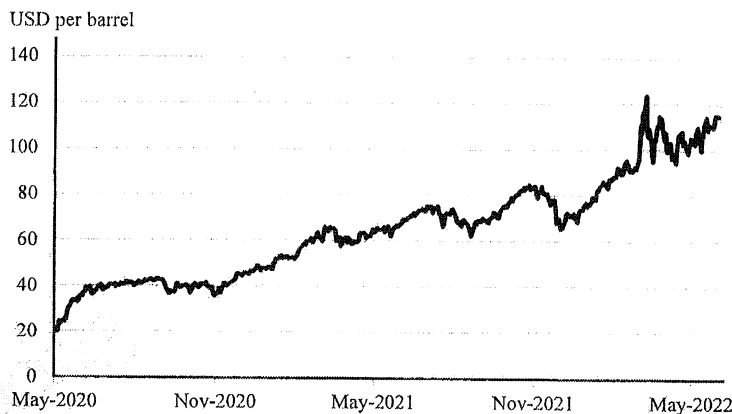
2001/AL/I/3

If the market price of a haircut charged by barber shops rises during holidays because customers have more free time to get their hair cut, does this mean that to customers haircuts are really more expensive during holidays because of an increase in market demand? (7 marks)

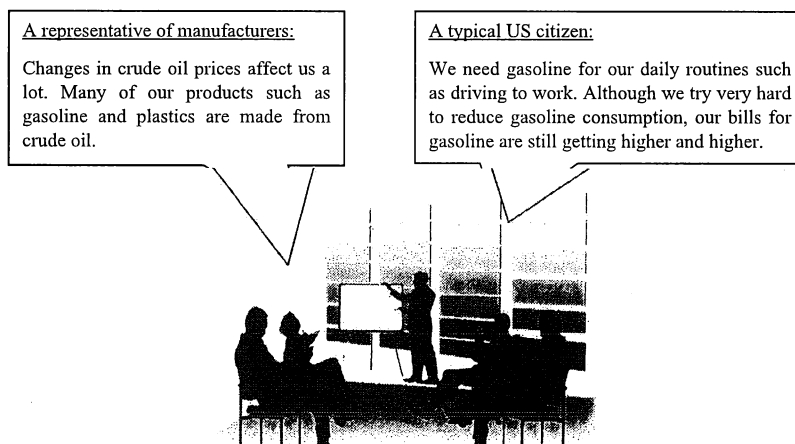
2023/DSE/II/12(a)(i)

Inflation is a concern in the US. Different causes of inflation have been suggested, including rising crude oil prices, expansionary monetary policy, and high import tariffs.

Source A: Prices of crude oil from May 2020 to May 2022



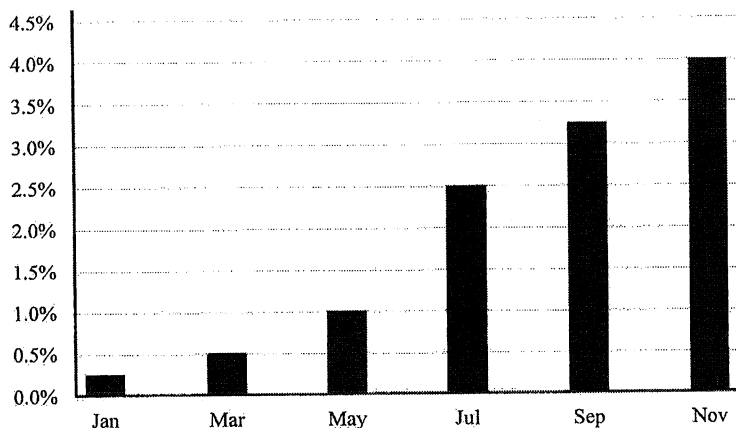
Source B: Some views about energy prices expressed by participants in a forum



Source C: Money supply in the US

	May 2020	May 2021
Money supply (USD Billion)	17766.9	20 319.6

Source D: Discount rate of the Federal Reserve* of the US from January to November 2022



*Federal Reserve is the central bank of the US.

Source E: Some comments on the US tariffs on Chinese imports

A US producer 	We can no longer bear the costs of tariffs on raw materials imported from China without increasing our product prices.
An economist 	The tariffs cause the prices of imported consumer goods from China to rise. This puts a greater burden on low-income households than on high-income households.

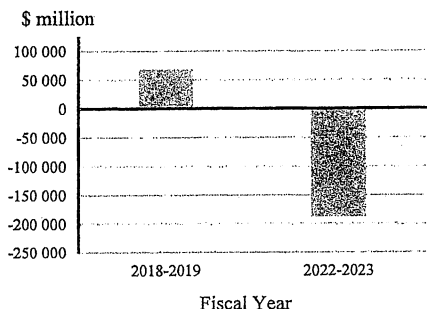
(a) Refer to Sources A and B,

- (i) Explain how the change in crude oil prices shown in Source A affects gasoline prices. (3 marks)

2024/DSE/II/13(c)

Hong Kong experienced an economic downturn because of the Covid-19 pandemic. It still faces various challenges on its path to resumption of normalcy after the pandemic.

Source A: Fiscal balance of the Hong Kong Government



Source B: Exchange rate of US dollar (USD) to Renminbi (RMB) before and after the pandemic

Date	Exchange Rate
1 April 2019	USD 1 = RMB 6.71
1 November 2023	USD 1 = RMB 7.32

Source C: News extract about the catering industry in Hong Kong in 2023

According to a representative of the catering industry in Hong Kong, local restaurants are unable to recruit enough waiters even though they are offering wages that are more than 50% above the statutory minimum.

Source D: Wage rates of waiters in Hong Kong in 2023

Statutory minimum wage rate	\$40 per hour
Average wage rate of waiters	\$62.4 per hour

(c) Refer to Sources C and D.

- Illustrate the economic phenomenon revealed by Source C with a supply-demand diagram.
- With the aid of the same diagram in (c)(i), explain whether the minimum wage was effective in the labour market of waiters in 2023.

(5 marks)